

Reliance Vs Vendors

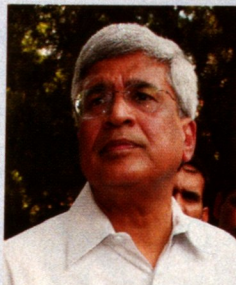


PAWAN BHAWAR

Reliance Fresh outlets were vandalised by political activists in Madhya Pradesh, Uttar Pradesh, Delhi, Kerala, Jharkhand, West Bengal and Orissa ostensibly to protect the interests of small traders. It didn't matter to the agitators that farmers and consumers were both beneficiaries of organised retail.

PRAKASH KARAT Vs P. CHIDAMBARAM

Karat (left) and Chidambaram may have been fellow travellers at one time but the duo is locked in an ideological combat. Karat blocked all attempts at economic reforms. Employees suffered as it resisted pension reforms, banks and insurance companies gasped for capital, PSUs bled the system but privatisation was taboo. Add high-decibel ranting on price rise, opposition to any reform of even non-merit subsidies and FDI in retail.



SIPRA DAS



GIREESH GV

Kanwar Vs Kanwar

Narinder Jeet Singh Kanwar accused elder brother and Apollo Tyres chairman Onkar Singh Kanwar of misusing company funds to exercise control over it. He filed a petition with the Company Law Board to this effect. In the 1990s, the company too was rocked by a similar controversy when Raunaq Singh, Onkar's father, had battled with him accusing him of various violations.

RAHUL Vs SHISHIR BAJAJ

Shishir's son Kushagra accused Rahul (left) of trying to oust his father from Bajaj Hindusthan, Sevashram and Jamnalal Sons. Both sides failed to reach an out-of-court settlement.



HEMANT CHAWLA



HEMANT PITHWA

Notable Numbers

■ **BSE SENSEX:**
Jumped 6,000 points

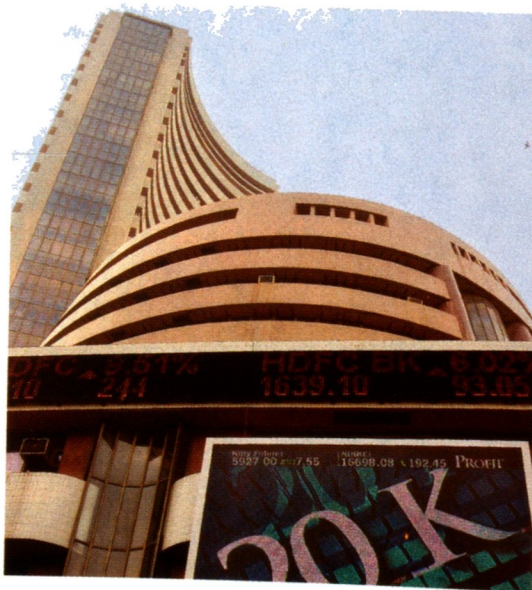
■ **INVESTOR WEALTH:**
Up from
Rs 35,71,810 crore
to Rs 71,87,729 crore

■ **FII INVESTMENT:**
\$17 billion

■ **M&A DEALS:**
\$68.32 billion

■ **DESI MNCs:**
Indian companies
invested \$32.73 billion
in 240 firms
abroad

■ **FOREX RESERVES:**
\$272 billion



every dollar bought added to liquidity and to the inflationary spiral. To its credit, the Reserve Bank of India (RBI) and the Ministry of Finance walked the tight rope well. They bought over \$50 billion to stabilise the rupee but used every instrument to control liquidity. The formula was to buy dollars, curb volatility and then suck money out of the system and make borrowing more expensive. As

interest rates were nudged up, sectors dependent on financed sales, or simply the EMI class, were hurt. Automobile sales slowed down, inventories of durables went up and the boom in the housing sector seemed to gasp for liquidity.

Politically, the rising WPI numbers came at possibly the worst time for Finance Minister P. Chidambaram as his own partymen and the ruling opposition a.k.a. the Left Front clamoured for action in the budget. Despite the virulent attack, Chidambaram didn't tinker with the budget, except perhaps its language.

Fortunately, growth in the Indian context is not dependent on politics and is fuelled by three Cs—consumption, conversion of high savings into investment and capitalisation. As new earners spent in celebration, high demand translated into growth. This growth is being further fuelled by conversion of high savings into new investments. At last count, corporate India was investing over Rs 5,00,000 crore in new projects. This optimism is driven by expectations of high return in a growing young market enabling high valuations and return on equity. The virtuous cycle of consumption, savings, investment and returns is leading the momentum. Such is the optimism that most companies would like to dub the RBI-induced soft landing as a correction rather than a slowdown.